

Behavioral Cycle of Investing



Naturally, weak markets will eventually recover and go up again. However, the timing of the recovery is unpredictable. You cannot time the market. Instead, you must stick with your financial plan and the asset allocation that matches your tolerance for market volatility. Unfortunately, investors in financial markets tend to do the opposite of what happens in most other markets: they buy more when prices are high and sell when prices are low. This causes returns to drag dramatically behind what a “buy, hold, and rebalance” investor could have earned. Staying the course would work better. This is the type of “behavioral coaching” Vanguard refers to in their study.

Why do we as humans need to be coached in our behavior? Evolution has designed us not to be effective long-term investors, but rather to seek to avoid short-term dangers. The fields of behavioral finance and behavioral economics have uncovered various biases humans have that are great for day-to-day survival, but somewhat maladaptive for long-term investing. A significant body of research is dedicated to detailing these investor behaviors.